

2019/DSE/II/10

The following table shows the changes in the individual income tax system in China effective from October 2018.

Average tax rate	Range of monthly taxable income, in Renminbi (RMB)	
	Old brackets	New brackets
3%	Less than or equal to 1 500	Less than or equal to 3 000
10%	1 501 – 4 500	3 001 – 12 000
20%	4 501 – 9 000	12 001 – 25 000
25%	9 001 – 35 000	25 001 – 35 000
30%	35 001 – 55 000	Unchanged
35%	55 001 – 80 000	Unchanged
45%	Greater than 80 000	Unchanged

- (b) Suppose there is a deflationary (output) gap in China economy. With the aid of an AS-AD diagram, explain how the above change of the individual income tax system would affect the deflationary (output) gap in the short run. (7 marks)
- (c) To achieve the same effect on the deflationary (output) gap as in part (b), an economist suggested the government should lower the required reserve ratio of banks instead of implementing the above change in tax system. Discuss the suggestion by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)

2020/DSE/II/9D

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

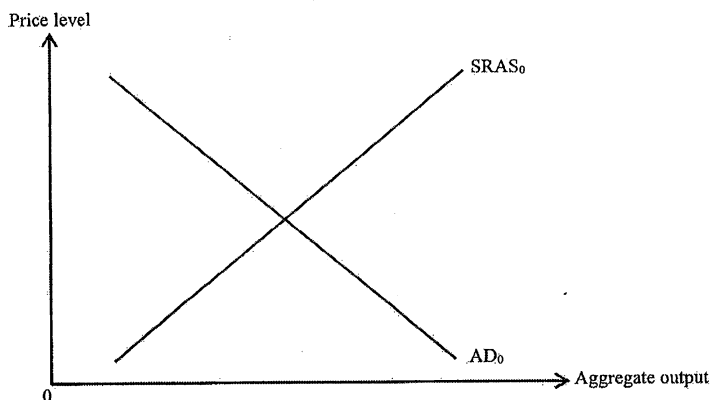
- (d) The contribution of the infrastructure development of Ocean Park to Hong Kong's GDP in 2019 could be smaller than the total amount invested in the two hotels and the water park. Explain why the statement may be correct with **TWO** reasons. (4 marks)

2023/DSE/II/7b

There exists a deflationary (output) gap in a country.

- (b) To attract travellers, the government relaxes the quarantine requirements for inbound tourists. With the aid of Figure 1, explain how the deflationary (output) gap would be affected. (5 marks)

Figure 1



6.2 LONG RUN AND SHORT-RUN EQUILIBRIUM

Multiple Choice Questions

1994/AL/II/9

The existence of a deflationary gap indicates that

- (1) the equilibrium income is below the full employment income.
- (2) a surplus budget should be used to eliminate the gap.
- (3) the economy has insufficient aggregate demand to achieve full employment.
- (4) the real income is smaller than the nominal income.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

1997/AL/II/21

Which of the following policies can be used to offset the effect of an increase in the saving of the households on the national income of an economy?

- A. an increase in the tax rate.
- B. a decrease in money supply.
- C. sales of government bonds by the central bank.
- D. a cut on the required reserve ratio of the banking sector.

1999/AL/II/4

The existence of an inflationary gap indicates that

- A. there is a gap between the actual inflation rate and the expected inflation rate.
- B. there is a gap between real income and nominal income, and the gap is caused by inflation.
- C. there is excess demand for aggregate output at the full employment level of income, which therefore falls short of the equilibrium level of income.
- D. All of the above.

2000/AL/II/20

Which of the following can raise the employment level of an economy?

- (1) export promotion
- (2) increase in foreign investment in the economy
- (3) reduction in the income tax rate

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2001/AL/II/14

Suppose country A and country B trade with each other and the imports of each country are a function of its own national income. If there is an increase in investment expenditure in country A, then

- A. the national income of both country A and country B will increase.
- B. the national income of country A increases but the national income of country B remains unchanged.
- C. the national income of country A increases but the national income of country B may either increase or decrease.
- D. the national income of each country may either increase or decrease.

2012/AL/II/30

With the existence of a deflationary gap

- A. real income is lower than nominal income.
- B. the economy has a rising deflation rate.
- C. the economy has insufficient aggregate demand to achieve full employment.
- D. the government can employ a surplus budget to eliminate the gap.

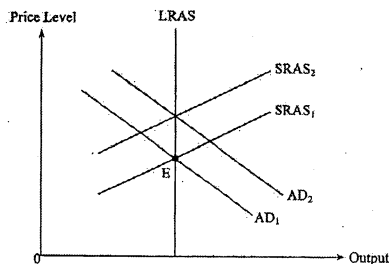
2012/DSE/I/25

Which of the following will lead to a decrease in aggregate demand?

- A. a rise in private saving
- B. a rise in investment expenditure
- C. a fall in imports
- D. a fall in the progressivity of income tax

2012/DSE/I/26

The diagram below shows the aggregate demand (AD) curves, the short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of a country. Point E is the initial equilibrium point.



When there is an economic recovery in the country's major trading partner, _____ in the short run and _____ in the long run.

- A. AD_1 will shift to AD_2 $SRAS_1$ will shift to $SRAS_2$
- B. AD_1 will shift to AD_2 AD_2 will shift back to AD_1
- C. $SRAS_1$ will shift to $SRAS_2$ AD_1 will shift to AD_2
- D. $SRAS_1$ will shift to $SRAS_2$ $SRAS_2$ will shift back to $SRAS_1$

2012/DSE/I/34

Suppose the government spends \$3 billion on the construction of a cruise terminal which is financed from its reserves. This will result in

- (1) an increase in aggregate output in the short run.
 - (2) an increase in aggregate output in the long run.
 - (3) an increase in employment in the short run.
 - (4) a budget deficit in the years of construction.
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (2) and (3) only
 - D. (1), (3) and (4) only

2012/DSE/I/36

Which of the following can offset the effect of a decrease in income tax rate on aggregate demand?

- A. a decrease in the asset demand for money
- B. a decrease in the desire to import
- C. an increase in the desire to invest
- D. an increase in the required reserve ratio

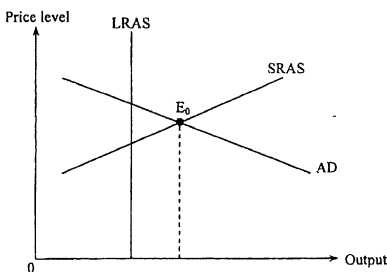
2013/DSE/I/23

The aggregate demand curve will shift to the right if

- A. there is a fall in the price level
- B. there is an improvement in technology
- C. the government reduces the import tariff
- D. the government reduces the salaries tax rate

2013/DSE/I/24

The diagram below shows the aggregate demand (AD) curves, the short run aggregate supply (SRAS) curve and the long run aggregate supply (LRAS) curve of an economy.

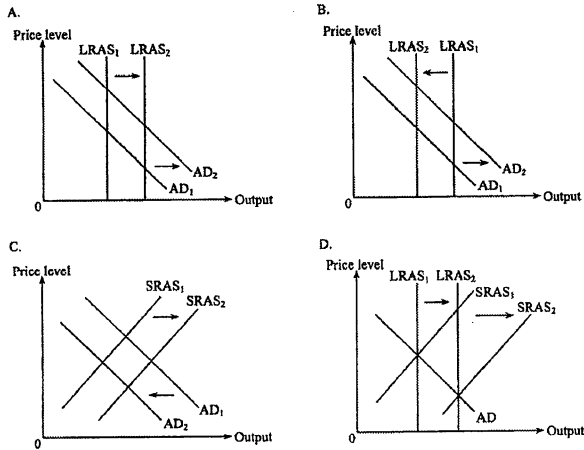


Suppose initially the economy operates at E_0 . There is a/an _____ and _____ can help restore the long run equilibrium.

- A. inflationary (output) gap a rise in transfer payments to the poor
- B. inflationary (output) gap a rise in the discount rate
- C. deflationary (output) gap a rise in transfer payments to the poor
- D. deflationary (output) gap a rise in the discount rate

2013/DSE/I/29

Suppose the government greatly increases the tax allowance on continuing education. Which of the following can best explain the effect of the above change on the price and output levels?

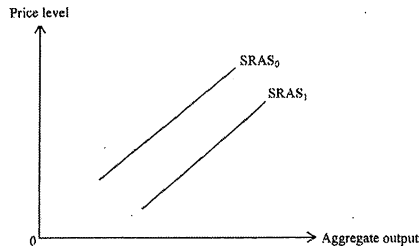


2013/DSE/I/30

If there is a decrease in the desire to consume, the net exports of an economy will _____ and the amount of money held for transaction purposes will _____.

- A. decrease decrease
- B. decrease remain constant
- C. increase increase
- D. increase decrease

2014/DSE/I/27



Refer to the above diagram. Which of the following would most likely lead to the shift of the short run aggregate supply curve from $SRAS_0$ to $SRAS_1$?

- A. to relax the quota for foreign domestic helpers
- B. to reduce the subsidy in research and development
- C. to increase the profits tax rate
- D. to increase the number of places in tertiary education

2014/DSE/I/28

Old Age Living Allowance (長者生活津貼) introduced by the Hong Kong government increases the _____ in GDP and results in a _____ shift of the aggregate demand curve.

- A. government consumption expenditure rightward
- B. government consumption expenditure leftward
- C. private consumption expenditure rightward
- D. private consumption expenditure leftward

2014/DSE/I/29

If there is a decrease in national income of a major trading partner of an economy, the employment of the economy will _____ and the price level will _____ in the short run.

- A. increase increase
- B. increase decrease
- C. decrease increase
- D. decrease decrease

2014/DSE/I/34

Deflationary (output) gap

- A. will be widened when there is a depreciation of the domestic currency.
- B. will be eliminated by a rightward shift of the aggregate demand curve when the market adjusts from short run equilibrium to long run equilibrium.
- C. will result in a downward pressure on the prices of inputs.
- D. will exist if the aggregate demand falls short of the short run aggregate supply.

2014/DSE/I/35

Which of the following policies can the government introduce to reduce the price and unemployment levels at the same time?

- A. to raise the discount rates
- B. to raise the subsidies to small and medium-sized enterprises
- C. to raise the salaries tax rate
- D. to raise the expenditure on social welfare

2014/DSE/I/38

Which of the following government policies will lead to an increase in the aggregate output of a country in the long run?

- (1) to tighten regulations on environmental protection
 - (2) to grant an amnesty (特赦) to illegal immigrants
 - (3) to ban the importation of foreign domestic helpers
 - (4) to build more international schools for attracting expatriates to work in the country
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

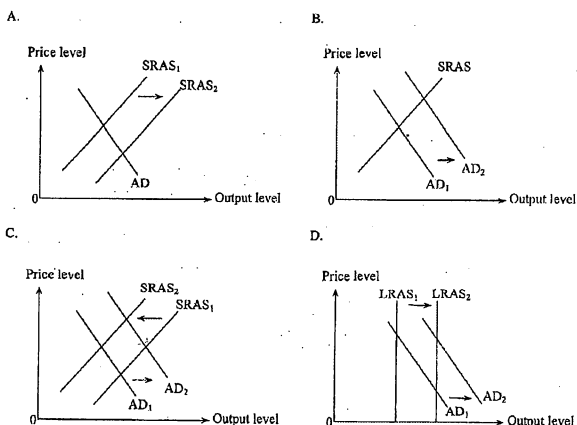
2015/DSE/I/26

Which of the following will result in a rightward shift of the aggregate demand curve of a country?

- A. The central bank reduces the discount rate.
- B. The minimum wage rate is increased.
- C. The general price level decreases.
- D. Its trading partners suffer from an economic recession.

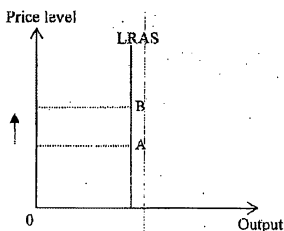
2015/DSE/I/27

The government provides cash subsidies for new-born children from their birth to age 10. Which of the following diagrams best illustrates the effect of the subsidies on the economy after twenty years?



2015/DSE/I/37

Refer to the following aggregate supply diagram.



When the economy moves from point A to point B, which of the following will NOT change?

- (1) real output
 - (2) nominal output
 - (3) potential output
- A. (1) only
 B. (2) only
 C. (1) and (3) only
 D. (1), (2) and (3)

2015/DSE/I/38

Initially an economy operates at the long-run equilibrium. Which of the following will lead to a deflationary (output) gap in the economy?

- A. The government increases the salaries tax rate.
- B. The government reduces the profits tax rate.
- C. The government invests in the construction of a cross-border express raillink.
- D. The central bank reduces the required reserve ratio.

2015/DSE/I/39

In an economy with severe inflation and income inequality, the government can lower the price level and reduce the income gap by

- A. increasing the environmental tax on handling household sewage.
- B. increasing the salaries tax and its progressivity.
- C. reducing its spending on social welfare.
- D. reducing the personal allowance of the salaries tax.

2016/DSE/I/26

The aggregate demand of a country will drop if

- A. the price level of the country rises.
- B. the currency of its major trading partner appreciates.
- C. the government spending on social welfare rises.
- D. the required reserve ratio rises.

2016/DSE/I/27

If the government builds new infrastructures, there will be an increase in

- (1) employed population during the construction period.
- (2) the price level during the construction period.
- (3) potential output after the construction is completed.
- (4) the price level after the construction is completed.

- A. (1) and (2) only
- B. (3) and (4) only
- C. (1), (2) and (3) only
- D. (1), (2), (3) and (4)

2016/DSE/I/28

The 'multiple entry permit' (一簽多行) for the permanent Shenzhen residents to visit Hong Kong has been replaced by a 'one trip per week cap' (一週一行). This would reduce Hong Kong's _____ and _____.

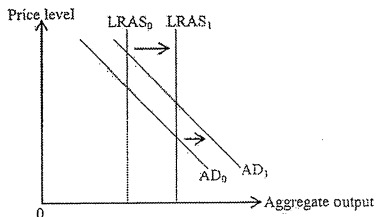
- A. aggregate demand output level in the long run
- B. aggregate demand price level in the long run
- C. short-run aggregate supply output level in the short run
- D. long-run aggregate supply output level in the long run

2017/DSE/I/28

The aggregate demand curve of Hong Kong will shift to the left if

- A. the implicit GDP deflator rises continuously.
- B. the government raises the retirement age of all civil servants.
- C. the number of tourists from the Mainland decreases.
- D. the Mainland stock market booms.

2017/DSE/I/29



The diagram above shows the aggregate demand curves and long run aggregate supply curves of an economy. Which of the following best explains the above changes?

- A. a decrease in people's desire to save
- B. an enhancement in production technology
- C. an increase in national income of the economy's trading partners
- D. an increase in government subsidy on private research and development

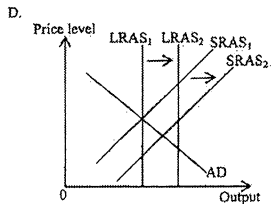
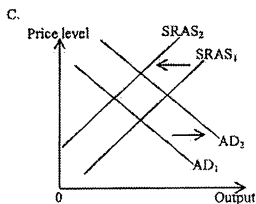
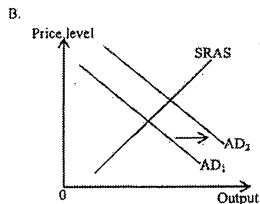
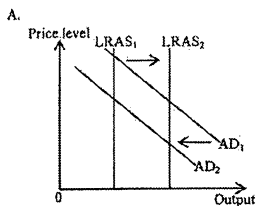
2017/DSE/I/37

Which of the following policies would most likely lead to a drop in aggregate output?

- A. The government bought bonds from the public and raised the tax allowance at the same time.
- B. The government sold bonds to the public and reduced transfer payment to the poor at the same time.
- C. The government reduced required reserve ratio and raised the progressivity of income tax at the same time.
- D. The government increased the discount rate and lowered profits tax rate at the same time.

2017/DSE/I/40

In his 2016-17 Budget, the Financial Secretary proposed to waive business registration fees for 2016-17. At the same time, the personal basic tax allowance was raised from \$120 000 to \$132 000. Which of the following best illustrates the effect of the above changes on the price and output levels?



2018/DSE/I/26

The short run aggregate supply curve will shift to the right if

- A. the government relaxes the importation quota of foreign workers.
- B. the government increases the profits tax rate.
- C. the central bank sells government bonds to the public.
- D. there is an increase in the price level.

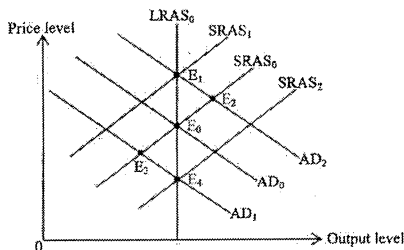
2018/DSE/I/27

Which of the following will lead to an increase in both price level and aggregate output in the short run?

- A. There is an improvement in production technology.
- B. There is an increase in the oil price.
- C. There is a decrease in money supply.
- D. There is a decrease in the desire to save.

2018/DSE/I/28

The diagram below shows the aggregate demand (AD) curves, short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of an economy. The economy initially operates at E_0 .



If the government gives \$10 000 cash to every citizen every year, the short-run equilibrium will be at _____ and the long-run equilibrium will be at _____.

- A. E_2 E_0
- B. E_2 E_1
- C. E_3 E_0
- D. E_3 E_4

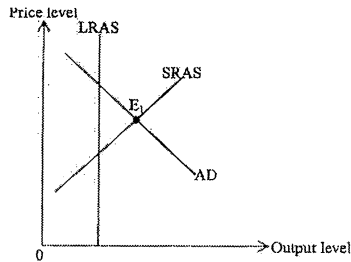
2018/DSE/I/38

Suppose there is a reduction in the basic allowance of the salaries tax in an economy. Which of the following can offset its effect on aggregate demand?

- A. People's desire to save increases.
- B. The price level decreases.
- C. The central bank carries out an open market sale of government bonds.
- D. The required reserve ratio in the banking system decreases.

2018/DSE/I/39

Refer to the AS-AD diagram below.

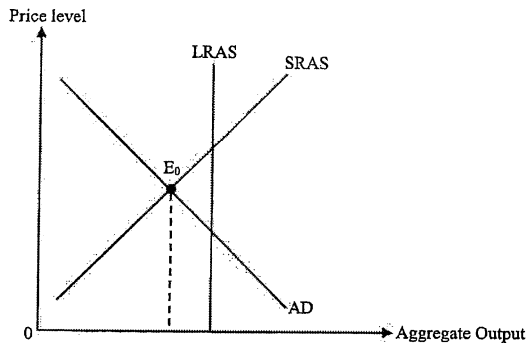


The economy operates at E_1 initially. Which of the following can help the economy restore to the long run equilibrium

- (1) to reduce the subsidies to small enterprises
 - (2) to increase the required reserve ratio
 - (3) to reduce the discount rate
 - (4) to reduce property tax
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (2) and (3) only
 - D. (2), (3) and (4) only

2020/DSE/I/36

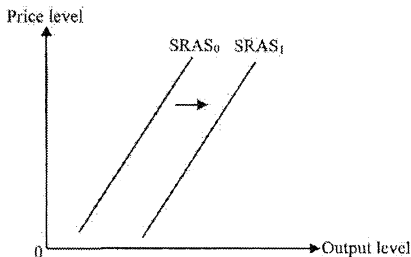
The diagram below shows the aggregate demand curve, the short run aggregate supply curve and the long run aggregate supply curve of an economy.



Suppose the economy initially operates at E_0 and the total import value equals to the total export value. If the government decreases the amount of social security assistance for the elderly, in the short run, the deflationary (output) gap will become _____ and there will be a _____.

- A. narrower.....trade surplus
- B. narrower.....trade deficit
- C. wider trade surplus
- D. wider.....trade deficit

2021/DSE/I/27

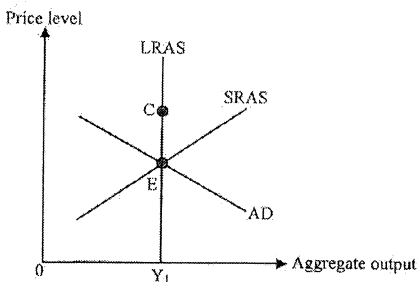


Which of the following is a possible reason of the above shift of the short run aggregate supply curve?

- A. The cost of production increases due to an increase in global demand for oil.
- B. The profitability of firms increases with the rise in price level, since the difference between output prices and input prices increases.
- C. An increase in interest rate leads to an increase in cost of investment.
- D. The operation of labour market resumes to normal after a massive labour strike.

2021/DSE/I/28

Study the following diagram.



The initial equilibrium point of an oil importing country is at E. If the new long run equilibrium point is at C, which of the following is a possible reason for the change in the equilibrium point?

- A. There is an increase in oil prices.
- B. There is a decrease in production subsidy.
- C. The public tends to save less.
- D. The government increases the salaries tax rate.

2022/DSE/I/29

A country relaxed its immigration requirements to attract foreigners to work, live and study there. It is estimated that 200 000 foreigners will be settling there this year. Which of the following statements about the relaxation of immigration requirements is correct?

- (1) The aggregate demand of the country will rise.
- (2) The labour productivity of the country will rise.
- (3) The short run aggregate supply of the country will rise.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

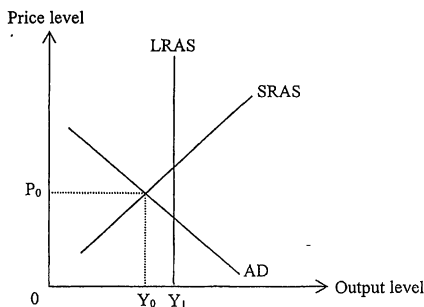
2022/DSE/I/36

Which of the following will widen the deflationary (output) gap of a country?

- A. Its trading partners experience an economic recovery.
- B. Credit cards are more widely used.
- C. There is a decrease in transfer payment.
- D. The central bank prints more money.

2022/DSE/I/38

Study the following diagram.

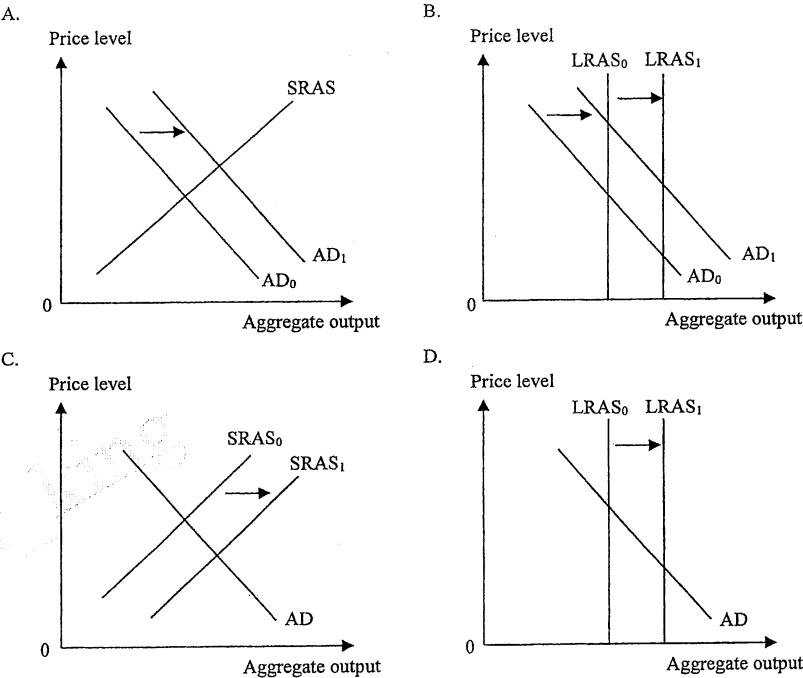


The initial output level of the economy is Y_0 . Suppose scientists have invented a new oil-refining technology. In the long run,

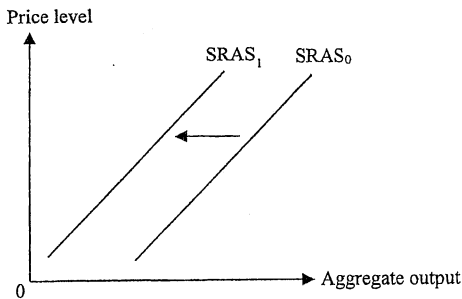
- (1) the price level will be lower than P_0 .
- (2) the output level will be higher than Y_1 .
- (3) the aggregate demand curve will shift to the right to attain equilibrium.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Suppose a large number of highly skilled foreign talents have been admitted to live and work in Hong Kong. Which of the following diagrams best illustrates the effects on Hong Kong's economy?



The following diagram shows the short run aggregate supply (SRAS) curves of a country.

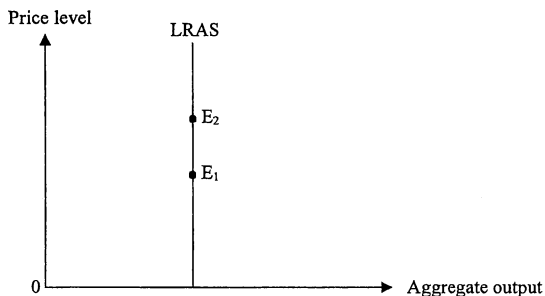


Which of the following is a possible reason for the above shift of the SRAS curve from SRAS₀ to SRAS₁?

- A. The government of the country provides subsidies to the core technology industries.
- B. The currency of the country appreciates against that of its trading partners.
- C. A large-scale hill fire occurs in the country and leads to massive destruction of production facilities.
- D. The central bank of the country raises the money supply.

2025/DSE/I/28

The diagram below shows the long run aggregate supply curve of a country.



Which of the following would result in a change in the long run equilibrium point from E₁ to E₂?

- A. The production of the country is disrupted by extreme weather.
- B. The infrastructure of the country is improved by a government construction project.
- C. There is a persistent increase in the price level.
- D. Households' desire to save decreases.

2025/DSE/I/29

Which of the following can explain why a long run aggregate supply curve is vertical?

- (1) Input prices can be perfectly adjusted in the long run.
- (2) Firms are unable to adjust their output levels in the long run.
- (3) Technological level is not constant in the long run.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

2025/DSE/I/30

When the short run aggregate output exceeds the full-employment output level, _____.

- A. an increase in the required reserve ratio by the central bank may help bring the aggregate output back to the full-employment output level
- B. the aggregate output would fall back to the full-employment output level due to a decrease in aggregate demand through the market adjustment mechanism
- C. there would be an excess supply in the factor market
- D. the full-employment output level would increase until it is equal to the short run aggregate output

Short & Structured Questions

2012/DSE/II/10(c)

In 2011, the Financial Secretary announced the “Scheme \$6 000” which provides \$6 000 to each Hong Kong permanent resident who is 18 years old or above.

With the aid of a diagram, explain how the “Scheme \$6 000” would affect the price and output levels of Hong Kong in the long run. (8 marks)

2013/DSE/II/4

- (a) Give **ONE** reason to explain why the aggregate demand curve is downward sloping. (3 marks)
- (b) Suppose there is an increase in the price of raw materials. With reference to the market adjustment mechanism from the short run equilibrium to the long run equilibrium, explain the long run effect of the above change on the price level with the aid of Figure 1. (9 marks)

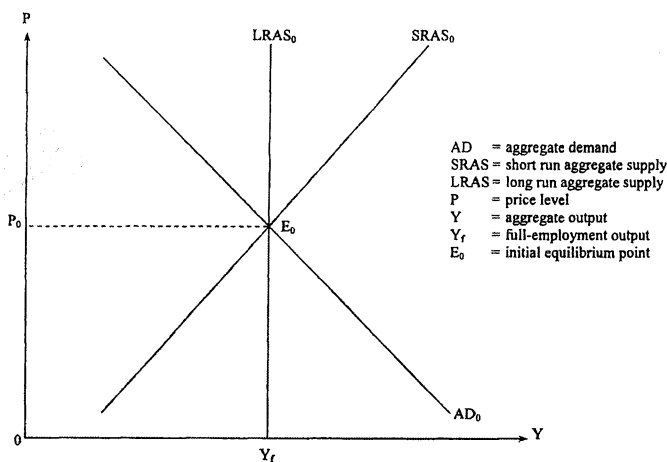


Figure 1

2013/DSE/II/12(c)

With the aid of an aggregate-demand-aggregate-supply diagram, explain the short run effects of an upward adjustment of the required reserve ratio on output and the price level of the economy. (8 marks)

2014/DSE/II/10(b)

Source 2 below is an extract from a newspaper article.

Addressing the potential threat brought about by the trends of the birth rate and old dependency ratio in China, government officials are considering relaxing the one-child policy in an effort to boost the birth rate.

*The policy restricts urban couples to only one child, while allowing additional children in several cases, including twins, rural couples, ethnic minorities, and couples who are both the only child in their respective families.

With reference to Source 2, discuss the possible effect on the aggregate output in the long run as a result of the relaxation of the one-child policy. (3 marks)

2014/DSE/II/12(c)

The Prime Minister of Japan, Shinza Abe, adopted a series of policy measures in 2013 to expand the Japanese economy. One of the policy measures was stepping up the scale of the purchase of government bonds and other financial assets by the central bank.

What would be the short run effects of the above policy on the output and price levels of the Japanese economy? Explain your answer with the aid of an aggregate-supply-aggregate-demand diagram. (8 marks)

2015/DSE/II/8

The government is considering spending a certain sum of its budget surplus on the following two proposals:

Proposal 1: To extend the free education to 15 years

Proposal 2: To provide unemployment benefits

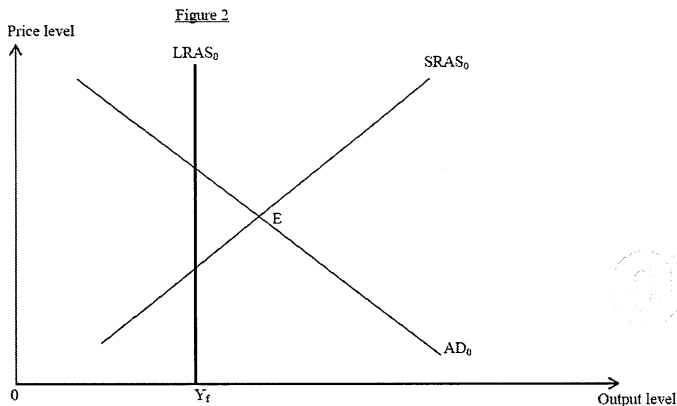
Evaluate the two proposals in terms of the effect on aggregate output.

(4 marks)

2015/DSE/II/12

Research shows that the “Individual Visit Scheme” of mainland tourists has brought economic benefits to Hong Kong.

An economist uses the AS-AD model to analyse the current situation in Hong Kong. In his analysis, point E in Figure 2 represents the initial short-run equilibrium of the Hong Kong economy.



- (b) He points out that the government can help the economy restore to its long-run equilibrium. With the aid of Figure 2, explain how the reduction in the number of tourists from the mainland can lower the output level to Y_f . (5 marks)
- (c) He also states that even without the help of the government, market forces can restore the economy to its long-run equilibrium. **WITHOUT** using a diagram, explain how market forces can lower the output level to Y_f in the long run. (4 marks)

2016/DSE/II/5

Explain, with **ONE** reason, why the short-run aggregate supply curve is upward-sloping.

(3 marks)

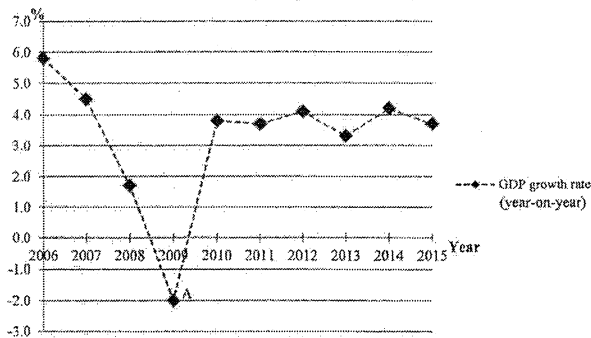
2016/DSE/II/12(b)

The Macau government implements a cash-sharing scheme, under which every resident receives cash from the government.

With the aid of an AS-AD diagram, explain how the cash-sharing scheme would affect output and price levels in the short run. (6 marks)

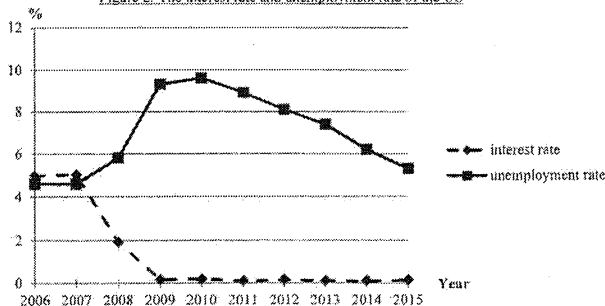
Figures 1 and 2 show some macroeconomic data of the US.

Figure 1: GDP growth rate of the US



- (a) Refer to Figure 1, Identify the phase of business cycle which point A is in. (1 mark)
- (b) How may a reduction in interest rate help the US economy in 2009? Without using a diagram, explain your answer in the light of aggregate supply and/or aggregate demand. (3 marks)

Figure 2: The interest rate and unemployment rate of the US



- (c) Discuss whether the data in Figures 1 and 2 are consistent with your answer in (b). (4 marks)
- (d) Suggest ONE policy that will help increase the aggregate output in the long run. Briefly explain your answer. (2 marks)

2017/DSE/II/12(b)

Before the British people voted against staying in the European Union (EU), i.e. Brexit, workers from the EU were free to work in Britain and vice versa. Brexit has shocked the economies in Europe and the following table shows some views on Brexit:

British politicians : Low-skilled EU workers should be required to apply for a visa to work in Britain.

British firm owners : The new visa requirement for EU workers affects most of the firms in the British economy.

Global investors : Political uncertainty in Britain increases the risk of investment projects there.

Referring to the views of the British firm owners and global investors, discuss the effect of Brexit on the aggregate output of Britain in the short run with the aid of a diagram. (8 marks)

2017/DSE/II/13(b)

To finance the scheme, there are different proposals which include:

Proposal A: increase the standard tax rate and the progressivity of salaries tax

Proposal B: use the fiscal reserves in the government

Discuss the effects of these two proposals on economic variables which include

(i) aggregate output

(4 marks)

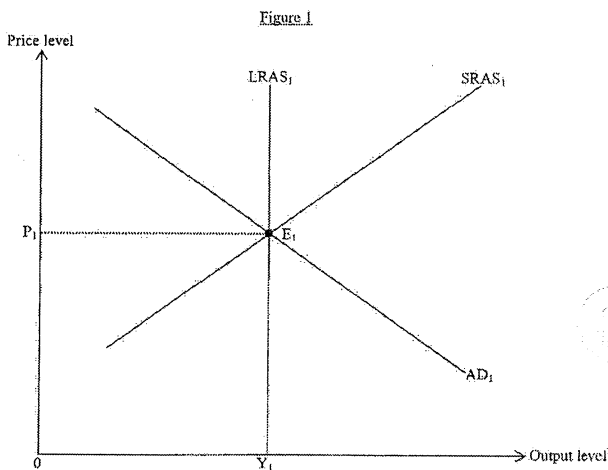
2018/DSE/II/9

The Express Rail Link (XRL) project (Hong Kong Section) is expected to be completed in 2018. It will shorten the estimated journey time between Hong Kong and various Mainland cities. Below are some opinions on the XRL project.

Government officials : With better infrastructure, the overall economic development of Hong Kong will be enhanced.

Small medium enterprise owners : We expect that the XRL could bring more Mainland travellers to Hong Kong.

Suppose the Hong Kong economy operates at E_1 . With reference to the above opinions, show why the price level of Hong Kong may rise in the long run after the completion of XRL project in Figure 1. (3 marks)



2018/DSE/II/11

To develop nuclear weapons and increase the military power, Country Z has raised the proportion of government spending on national defence from 10% to 20%. All males aged from 20 -25 are also required to join the military force for 2 years.

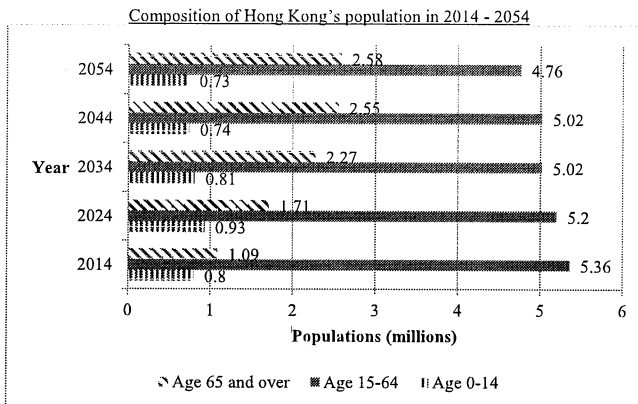
In response to the increasing military threat from Country Z, the United Nations has passed a bill to embargo most of the goods exporting from Country Z.

Analyse the effects of the above situation on Country Z's aggregate output in the short run.

(3 marks)

2018/DSE/II/13(a)(i)

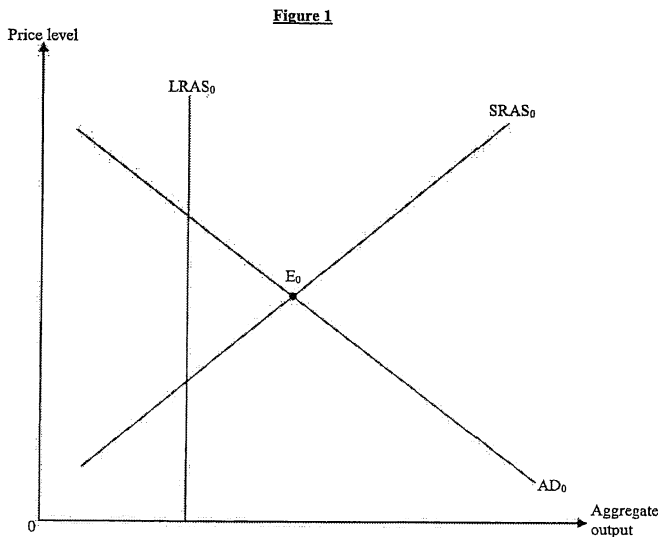
The source below shows Hong Kong's population projection.



With reference to the above source, briefly discuss the possible effects of the change in composition of population on potential output in the future. (3 marks)

2020/DSE/II/6

Refer to Figure 1.



Suppose an economy initially operates at E₀. With the aid of Figure 1, explain how market forces can restore the aggregate output level to the full-employment output level in the long run. (5 marks)

2020/DSE/II/9B

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

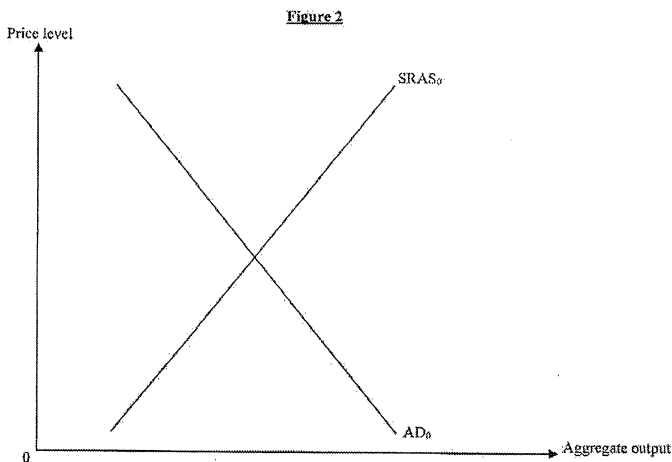
The first hotel in Ocean Park was launched in 2018 while the second hotel and the water park were scheduled to be opened before 2021. It is expected that such infrastructure development can attract more tourists to stay longer in Hong Kong.

- (b) Other things being equal, what will be the effects of the infrastructure development on Hong Kong's aggregate demand and long run aggregate supply in the future? How about on aggregate output? Explain your answers with the aid of a diagram.

(8 marks)

2021/DSE/II/11

There exists a deflationary (output) gap in Country F.



- (a) Define deflationary (output) gap and show the gap in Figure 2.
- (b) A natural disaster has struck Country F. A large number of factories have closed down temporarily. Many people have lost their jobs and become pessimistic about their future.

(2 marks)

With the aid of Figure 2, explain why the natural disaster would lead to a wider deflationary (output) gap in Country F.

(7 marks)

- (c) Without using a diagram, explain how the central bank of Country F could use an open market operation to narrow the deflationary (output) gap.

(4 marks)

2022/DSE/II/9b

The Mainland government introduced the Targeted Poverty Alleviation Campaign (精準扶貧政策) in 2014.

After analysing the situations of people living in poverty, the government officials came up with tailor-made measures. The following are two examples of the campaign.

Example 1	A village in Yunnan province has beautiful natural landscape. The government of Yunnan province promoted the village to attract more travellers. Apart from farming, the villagers also set up hostels to serve travellers in order to earn more income.
Example 2	The government provided funding and invited private firms to develop hydroelectric power plants in six provinces (such as Hubei and Jiangxi). Such development would help improve transportation, irrigation and flood prevention in the rural villages in these provinces.

- (b) Refer to Example 2. With the aid of a diagram, explain how aggregate output in these six provinces would be affected in the long run. (8 marks)

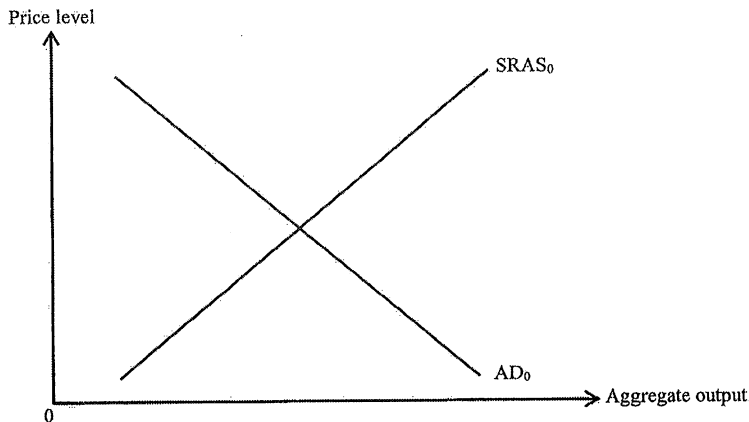
2023/DSE/II/7

There exists a deflationary (output) gap in a country.

- (a) Indicate the deflationary (output) gap in Figure 1. (1 mark)

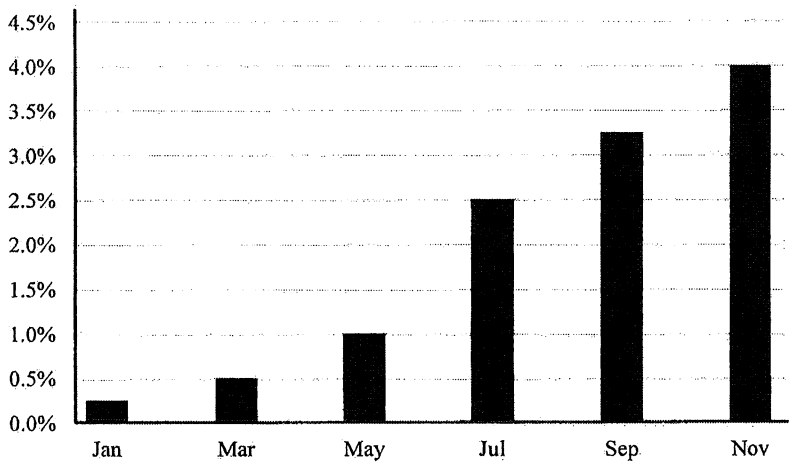
- (b) To attract travellers, the government relaxes the quarantine requirements for inbound tourists. With the aid of Figure 1, explain how the deflationary (output) gap would be affected. (5 marks)

Figure 1



Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source D: Discount rate of the Federal Reserve* of the US from January to November 2022



*Federal Reserve is the central bank of the US.

- (c) Refer to Source D. How may the change in discount rate as shown in the source help relieve the pressure on rising price level? Without using a diagram, explain your answer in the light of aggregate supply and/or aggregate demand.

(5 marks)

Figure 2 shows the aggregate demand (AD), short run aggregate supply (SRAS) and long run aggregate supply (LRAS) curves of an economy.

Figure 2

